JAPAN × INDIA | PROJECT-BASED LEARNING

Startup Ecosystems in Asia

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- Former Morgan Stanley; built Japan–India–SEA corporate-finance and VC bridges
- Smart-city, agriculture & energy investment advisory at NRI Singapore
- Today: Entire management of venture capital at ICMG Ventures

> *"Finance matters. But the real work is connecting technology, markets and people across borders."*

Source: ICMG Group team profile (accessed Sep 2026)

OUR PLATFORM

The ICMG Co-Creation Fund

Regional capital → Asian startups → regional transformation



Since 2021, ICMG has run the Co-Creation Fund together with **Haneda Airport and Kiraboshi Bank**, channeling fast, flexible growth capital to purpose-driven ventures across India, Southeast Asia and Japan — and opening co-creation opportunities for LPs and ICMG's corporate clients.

From January 2025, Fund II launched with **OKI, Hokuriku Bank, 77 Bank and Yamanashi Chuo Bank** joining as new LPs — widening the coalition of regional banks that connect ICMG to local markets.


ICMG Group、インドの次世代ユニコーンと日本企業の共創を推進するベンチャーキャピタル ICMG共創ファンド２号を設立

ICMG Holdings Pte. Ltd.　2025年4月1日 10時00分

（左から）株式会社七十七銀行 専務取締役 小林寛、ICMG Group 代表取締役社長 船橋元、
沖電気工業株式会社 代表取締役社長 森孝廣、株式会社北陸銀行 取締役専務執行役員 小林正彦

2021
Fund I launched

2025
Fund II launched

3
Countries: Japan + India + SEA



This is not "investment return only." Capital is the entry point; regional banks bring trusted local access, and ICMG brings the missing external network of startups, corporates, governments and accelerators — together creating commercial pathways that grow portfolio companies and change regions.

Source: ICMG Group, 「ベンチャーキャピタル『共創ファンド』の設立について」(May 2021); ICMG source material supplied for this session

OUR PLATFORM

Regional Banks Are Distribution Infrastructure

A startup entering Japan needs more than a Tokyo introduction

REGIONAL FINANCIAL INSTITUTIONS

Trusted local access

- Loan clients & regional SMEs
- Local champions
- Prefectural & municipal governments
- Universities, hospitals, residents

NEW CO-CREATION OPPORTUNITIES

market entry • pilots • distribution

ICMG

Cross-border reach

- Japan & overseas startups
- Major Japanese corporations
- Overseas government agencies
- Accelerators, investors, experts

For foreign startups, the "region" is not a secondary market. It can be the fastest route to a real customer, a regulated pilot and a durable local coalition.

Source: ICMG source material supplied for this session

TODAY'S SESSION

Agenda

01	**Why Regions, Why Startups**	Why Japan’s “outside Tokyo” economy is an underpriced innovation frontier
02	**What the Data Misses**	How startup adoption actually works in Japan and India — especially in healthcare
03	**Japan × India in Action**	Three patterns of two-way co-creation, not one-way market entry
04	**The Message**	Entrepreneurship starts with a vision of the system you want to change

SECTION 1

Why Regions, Why Startups

The opportunity is where demographic pressure meets under-commercialized capability

Tokyo + Osaka ≈ 29% of Japan's GDP → more than 70% is produced elsewhere

1 ECONOMIC WEIGHT

150
research institutions

20,000
researchers

Regional industry, manufacturing supply chains, tourism, food, energy and healthcare are national-scale economic assets — not peripheral ones.

2 TSUKUBA = THE PATTERN

AIST, University of Tsukuba and a dense incubation network form a deep-tech "treasure chest" — but research concentration doesn't automatically become industry.

3 HEALTHCARE = URGENCY

29%+
population aged 65+

¥47T
annual medical spend

Rural systems feel the constraint first: fewer workers, longer access distances, succession risk in clinics and pharmacies, rising care complexity.

The investable gap: Japan's regions have assets. What they need is industry creation — entrepreneurs who redesign infrastructure, workflows and business models. Foreign founders can enter before this market becomes globally obvious.

Sources: Cabinet Office prefectural economic accounts, FY2022 (Tokyo + Osaka share, approximate); Tsukuba Global Innovation Promotion Agency; Statistics Bureau / MHLW

SECTION 1

Japan’s Regions Meet India

Yamanashi × Uttar Pradesh — New Delhi, August 2026







U.P.–Japan Investment Meet 2026

A political and business delegation led by Yamanashi Governor Nagasaki met India’s Commerce & Industry Minister Piyush Goyal and Uttar Pradesh Chief Minister Yogi Adityanath, with startup-focused keynote and panel sessions.

200+

delegates from government & business

A TWO-WAY BRIDGE

Japan → India: technology • know-how • quality

India → Japan: talent • technology • scale

Case examples follow in Section 3.

Sources: Invest UP / U.P.–Japan Investment Meet 2026 press materials; ICMG source material supplied for this session

SECTION 2 — JAPAN

Smaller Capital Pool, High-Quality Adoption Barrier

The question is not “How many unicorns?” but “How does a startup become trusted infrastructure?”

¥761.3B
startup funding, 2025

Selective
median round sizes tightened

Corporate-led
pilots & distribution matter most

In Japan, “good technology” is rarely enough on its own.

WHAT IS STRUCTURALLY DIFFERENT? — THE NON-GPT VERSION

	WEST	JAPAN
Customer acquisition	sell into a fragmented market	build a coalition around a reference customer
Exit logic	M&A is a normal endpoint	IPO historically prominent; strategic M&A now growing
Talent	high mobility	career switching improving, but domain talent stays institutional
Regulated sectors	scale after product-market fit	evidence + workflow fit + stakeholder alignment ARE part of PMF

The winning startup reduces perceived risk for every stakeholder: clinician, procurement, IT/security, regulator, payer, corporate HQ and the local champion who owns implementation.

Sources: Speeda Japan Startup Finance 2025; JETRO Invest Japan Report 2025; ICMG analysis

SECTION 2 — JAPAN

Healthcare: The Bottleneck Is Workflow, Not Demand

Aging creates demand; reimbursement, evidence and integration determine adoption



Three companies show three different ways through the system

UBIE

AI navigation + hospital SaaS

$125M+ cumulative funding

Wins by fitting both patient discovery and provider workflow.

CUREAPP

Prescription digital therapeutics

Japan pioneered reimbursed DTx

Wins when clinical evidence becomes a reimbursable treatment pathway.

AI MEDICAL SERVICE

AI-assisted endoscopy

Deep-tech + regulated device

Wins by embedding AI inside an existing high-volume clinical procedure.

Regional opportunity: workforce shortages make "minutes saved per patient," remote specialist access, home care, diagnostics and pharmacy/clinic succession economically measurable — not just socially desirable.

Sources: MHLW / Statistics Bureau; Ubie 2025 funding disclosure; company and public disclosures

SECTION 2 — INDIA

Scale Is No Longer the Story — Discipline Is

2025 marked a more selective ecosystem, while deep-tech and domestic exits strengthened

157,706
DPIIT-recognized startups by Dec 2024

$10.5B
tech funding in 2025 (Tracxn)

3rd
largest funded tech ecosystem globally

$1.6B
deep-tech funding, 2025

FROM EFFICIENCY → RESILIENCE

Old India startup thesis

cheap engineering • consumer scale • capital-fueled growth

➡ **New thesis**

IP ownership • industrial resilience • exportable deep-tech

WHY THIS FITS JAPAN

India supplies speed, software talent, frugal system design and extreme operating conditions.

Japan supplies precision, manufacturing depth, quality systems, patient capital and demanding reference customers.

Together they can build products robust enough for emerging markets and credible enough for developed markets.

Sources: DPIIT Annual Report 2024–25; Tracxn 2025 via TechCrunch / Fortune India; 2025 deep-tech funding reports

SECTION 2 — INDIA

Healthcare: Build for Constraints, Export the Capability

India's health-tech opportunity is moving from access arbitrage to system infrastructure and IP

$638B	1.3	$828M	$275M
healthcare sector, 2025 projection	hospital beds / 1,000 people	health-tech funding, H1 2025	Innovaccer Series F, Jan 2025

The most exportable Indian health-tech solves a constraint that rich markets also have.

Fragmented care + uneven capacity	➡ **digital care orchestration**	Workforce scarcity	➡ **automation and decision support**
High out-of-pocket sensitivity	➡ **ruthless unit economics**	Aging + chronic disease	➡ **longitudinal care platforms**
Huge clinical diversity	➡ **robust data / AI systems**	Regional access gaps	➡ **remote and distributed delivery**
Infrastructure gaps	➡ **resilient devices and workflows**	Industrial quality expectations	➡ **validated, auditable systems**

Examples to watch: Innovaccer (healthcare data / AI), Pristyn Care (care delivery), NirogStreet (Ayurveda ecosystem), plus a growing deep-tech layer in diagnostics and devices.

Source: IBEF Healthcare Industry in India (2026 update); company disclosures

SECTION 3

Japan × India — Collaboration in Action

Three different mechanisms: import capability, export access, co-develop IP

01 IMPORT CAPABILITY

SoftBank × Paytm → PayPay

India's battle-tested QR/payment capability helped Japan move faster from a cash-heavy starting point. The lesson is not fintech — it is importing a capability proven under harsher scale and complexity.

PayPay launched in ~3 months using Paytm know-how

02 EXPORT ACCESS

FMCG× NirogStreet (Healthcare Commerce)

ICMG is working with NirogStreet to bring Japanese consumer products into an Ayurveda-led distribution and practitioner ecosystem — pairing product with local branding, research and channel execution.

Local platform = route to doctors, clinics and consumers

03 CO-DEVELOP IP

OKI × Kritsnam

In September 2026, OKI and Kritsnam signed an MoU to validate enterprise water-management opportunities. India's complex water reality meets Japan's precision and continuous improvement — a reverse-innovation pattern.

DWAS: audit-ready "water accounting" for enterprises

Sources: ICMG supplied case material; NirogStreet material; K. Sri Harsha / OKI LinkedIn post, Sep 2026

SECTION 3

SoftBank × Paytm → PayPay

■ **SoftBank's investment in Paytm opened a path to transform Japan's cash-centric economy, creating enormous value for both companies through PayPay**

CONTEXT

SoftBank

the Japanese holding company, invested **$11B in India** since 2018

India portfolio – **Paytm**, Delhivery, Lenskart, Swiggy, etc.

4 IPOs in 2023

Exits of $6.2B

paytm

Indian payments giant and portfolio company of SoftBank (cumulative **$1.4B**)

Mastered QR code payments in the challenging and dynamic digital landscape

Continues to innovate to **become a super-app** offering e-commerce, digital gold, etc.

100M active users; $34.5B GMV in Q4'22

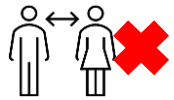
PROBLEM

SoftBank-owned **Yahoo! Japan ran Yahoo! Wallet in 2018** (YAHOO! JAPAN ウォレット)

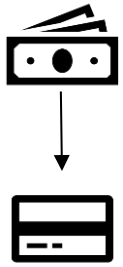
Wallet was barcode-based, involving the user showing a barcode on their device to handheld scanners to make payments



P2P Transactions were not possible with inconvenient and capital-intensive method



At the same time, 2018 Japan was **struggling with a cash-based economy** with cashless penetration at **20%**



Government was planning to raise this to 40% by 2025 and in the **long term to 80%**

SOLUTION

paytm + SoftBank + YAHOO! JAPAN → PayPay

Leveraged **Paytm's battle-tested tech** to develop PayPay and **launch in 3 months!**

Japan market leader – **63M users** accounting for **60% of adult population**

$63.3B GMV ('23) marking **34%** YoY growth

4.1M merchants onboarded

Meanwhile, Paytm **acquired 7% stake** in PayPay – valued at **$500M**
and expanded internationally successfully

Sources: ICMG supplied case material; NirogStreet material; K. Sri Harsha / OKI LinkedIn post, Sep 2026

THE MESSAGE

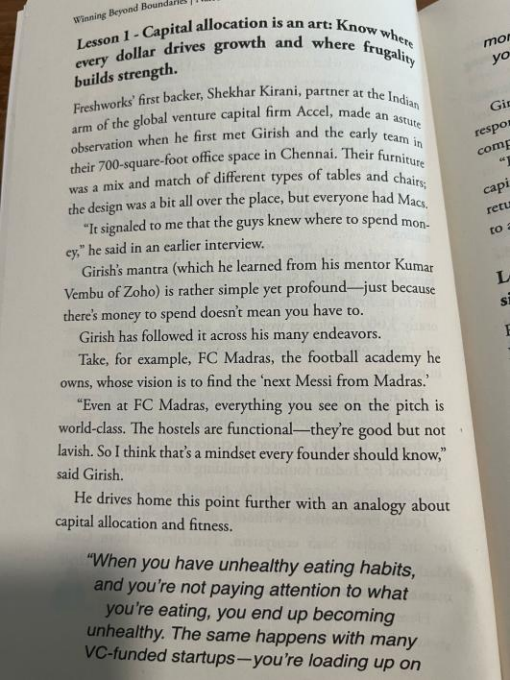
Entrepreneurship begins with a Vision.

Not a vision of the product.

A vision of the system that should exist.

Japan’s regions have assets without enough new industry. India has scale, talent and increasingly exportable IP. The entrepreneurial opportunity is to see the bridge before it becomes obvious — then build the coalition that makes it real.

Thank you | Q&A



Winning Beyond Boundaries

Lesson 1 - Capital allocation is an art: Know where every dollar drives growth and where frugality builds strength.

Freshworks' first backer, Shekhar Kirani, partner at the Indian arm of the global venture capital firm Accel, made an astute observation when he first met Girish and the early team in their 700-square-foot office space in Chennai. Their furniture was a mix and match of different types of tables and chairs; the design was a bit all over the place, but everyone had Macs.

"It signaled to me that the guys knew where to spend money," he said in an earlier interview.

Girish's mantra (which he learned from his mentor Kumar Vembu of Zoho) is rather simple yet profound—just because there's money to spend doesn't mean you have to.

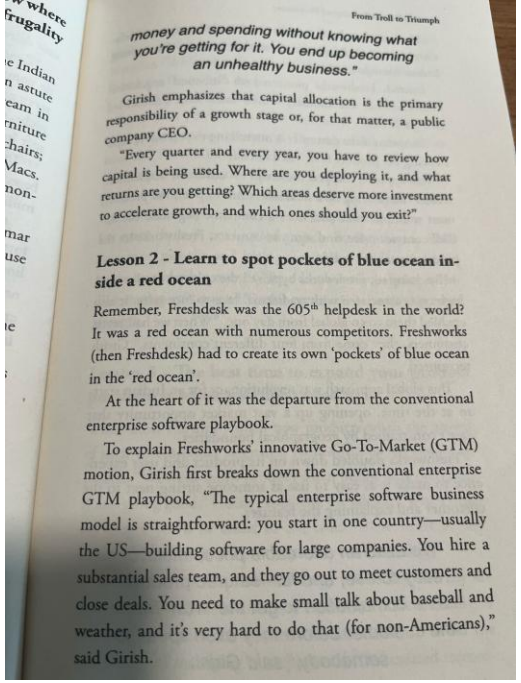
Girish has followed it across his many endeavors.

Take, for example, FC Madras, the football academy he owns, whose vision is to find the 'next Messi from Madras.'

"Even at FC Madras, everything you see on the pitch is world-class. The hostels are functional—they're good but not lavish. So I think that's a mindset every founder should know," said Girish.

He drives home this point further with an analogy about capital allocation and fitness.

"When you have unhealthy eating habits, and you're not paying attention to what you're eating, you end up becoming unhealthy. The same happens with many VC-funded startups—you're loading up on



From Troll to Triumph

money and spending without knowing what you're getting for it. You end up becoming an unhealthy business."

Girish emphasizes that capital allocation is the primary responsibility of a growth stage or, for that matter, a public company CEO.

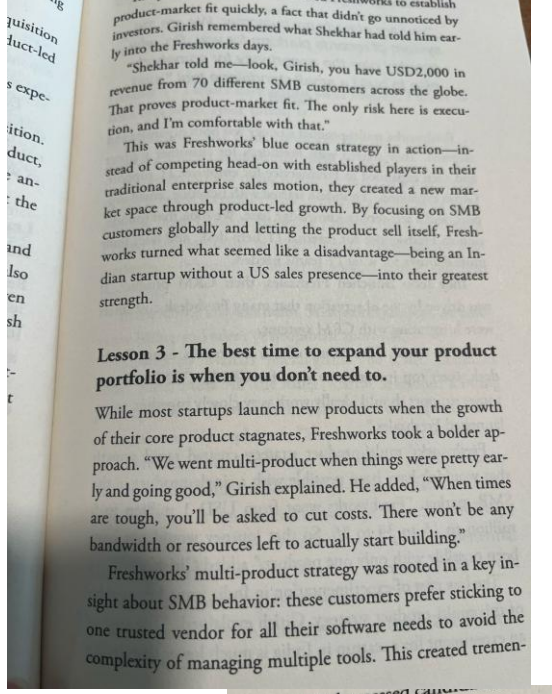
"Every quarter and every year, you have to review how capital is being used. Where are you deploying it, and what returns are you getting? Which areas deserve more investment to accelerate growth, and which ones should you exit?"

Lesson 2 - Learn to spot pockets of blue ocean inside a red ocean

Remember, Freshdesk was the 605th helpdesk in the world? It was a red ocean with numerous competitors. Freshworks (then Freshdesk) had to create its own 'pockets' of blue ocean in the 'red ocean'.

At the heart of it was the departure from the conventional enterprise software playbook.

To explain Freshworks' innovative Go-To-Market (GTM) motion, Girish first breaks down the conventional enterprise GTM playbook, "The typical enterprise software business model is straightforward: you start in one country—usually the US—building software for large companies. You hire a substantial sales team, and they go out to meet customers and close deals. You need to make small talk about baseball and weather, and it's very hard to do that (for non-Americans)," said Girish.



product-market fit quickly, a fact that didn't go unnoticed by investors. Girish remembered what Shekhar had told him early into the Freshworks days.

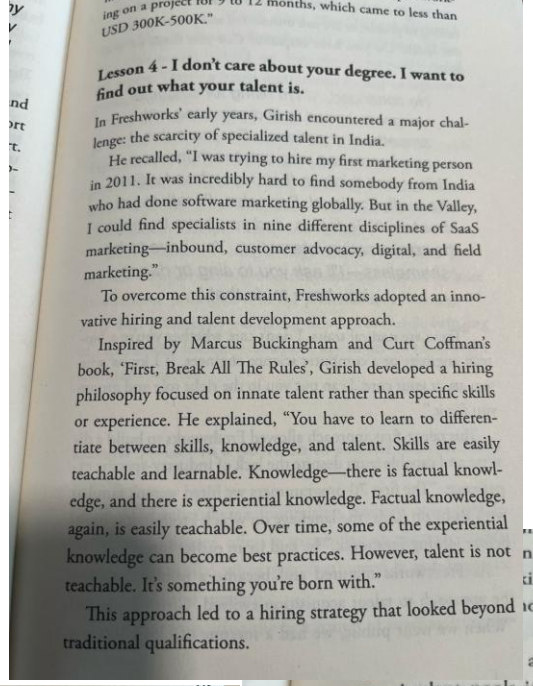
"Shekhar told me—look, Girish, you have USD2,000 in revenue from 70 different SMB customers across the globe. That proves product-market fit. The only risk here is execution, and I'm comfortable with that."

This was Freshworks' blue ocean strategy in action—instead of competing head-on with established players in their traditional enterprise sales motion, they created a new market space through product-led growth. By focusing on SMB customers globally and letting the product sell itself, Freshworks turned what seemed like a disadvantage—being an Indian startup without a US sales presence—into their greatest strength.

Lesson 3 - The best time to expand your product portfolio is when you don't need to.

While most startups launch new products when the growth of their core product stagnates, Freshworks took a bolder approach. "We went multi-product when things were pretty early and going good," Girish explained. He added, "When times are tough, you'll be asked to cut costs. There won't be any bandwidth or resources left to actually start building."

Freshworks' multi-product strategy was rooted in a key insight about SMB behavior: these customers prefer sticking to one trusted vendor for all their software needs to avoid the complexity of managing multiple tools. This created tremen-



ing on a project for 9 to 12 months, which came to less than USD 300K-500K."

Lesson 4 - I don't care about your degree. I want to find out what your talent is.

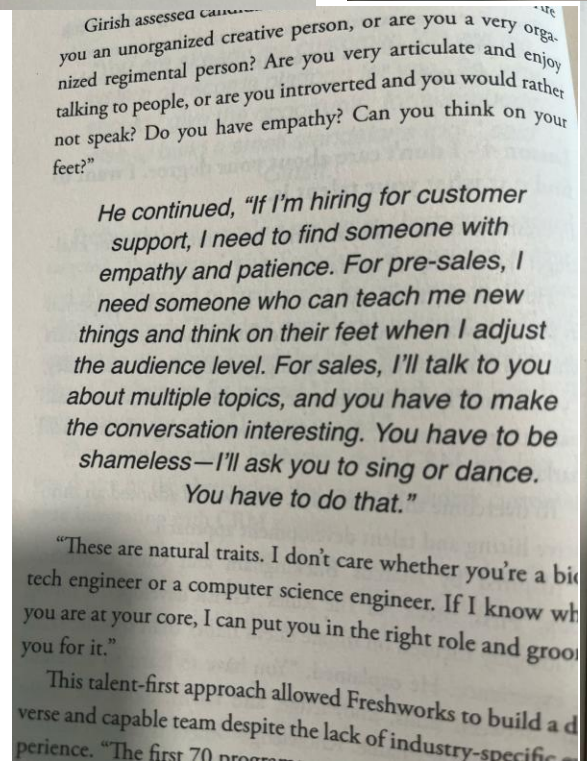
In Freshworks' early years, Girish encountered a major challenge: the scarcity of specialized talent in India.

He recalled, "I was trying to hire my first marketing person in 2011. It was incredibly hard to find somebody from India who had done software marketing globally. But in the Valley, I could find specialists in nine different disciplines of SaaS marketing—inbound, customer advocacy, digital, and field marketing."

To overcome this constraint, Freshworks adopted an innovative hiring and talent development approach.

Inspired by Marcus Buckingham and Curt Coffman's book, 'First, Break All The Rules', Girish developed a hiring philosophy focused on innate talent rather than specific skills or experience. He explained, "You have to learn to differentiate between skills, knowledge, and talent. Skills are easily teachable and learnable. Knowledge—there is factual knowledge, and there is experiential knowledge. Factual knowledge, again, is easily teachable. Over time, some of the experiential knowledge can become best practices. However, talent is not teachable. It's something you're born with."

This approach led to a hiring strategy that looked beyond traditional qualifications.

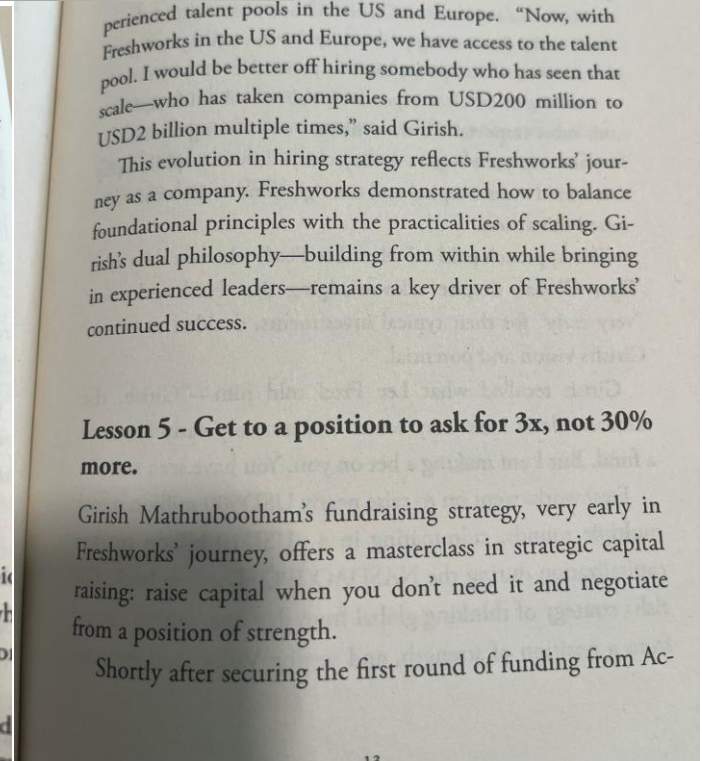


you an unorganized creative person, or are you a very organized regimental person? Are you very articulate and enjoy talking to people, or are you introverted and you would rather not speak? Do you have empathy? Can you think on your feet?"

He continued, "If I'm hiring for customer support, I need to find someone with empathy and patience. For pre-sales, I need someone who can teach me new things and think on their feet when I adjust the audience level. For sales, I'll talk to you about multiple topics, and you have to make the conversation interesting. You have to be shameless—I'll ask you to sing or dance. You have to do that."

"These are natural traits. I don't care whether you're a bi tech engineer or a computer science engineer. If I know wh you are at your core, I can put you in the right role and groo you for it."

This talent-first approach allowed Freshworks to build a d verse and capable team despite the lack of industry-specific perience. "The first 70 progra



n Bangalore and say, 'we'll learn by do- till you. For taxation, we need a global ole organization needed to support a

also came with increased access to experienced talent pools in the US and Europe. "Now, with Freshworks in the US and Europe, we have access to the talent pool. I would be better off hiring somebody who has seen that scale—who has taken companies from USD200 million to USD2 billion multiple times," said Girish.

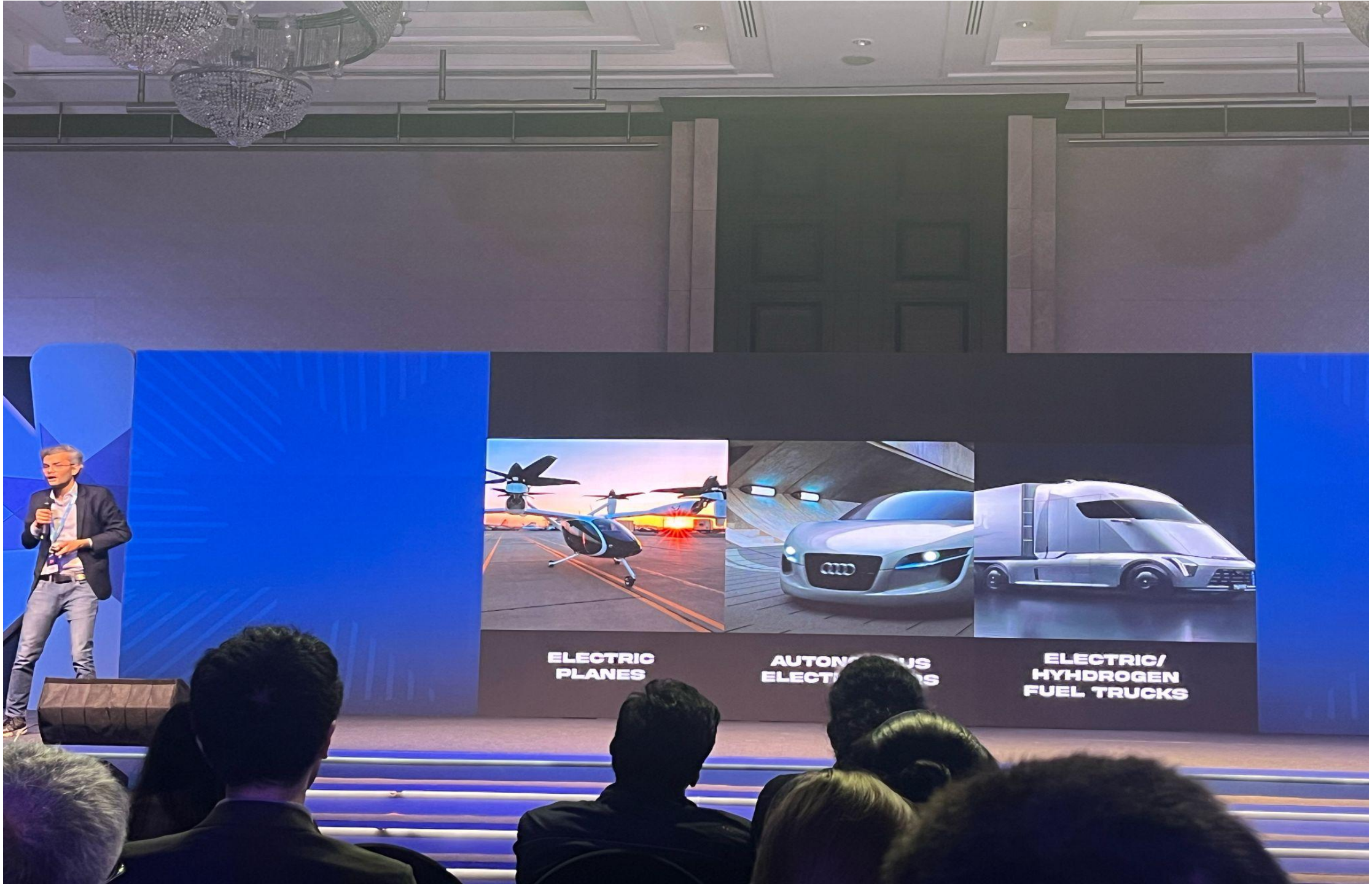
This evolution in hiring strategy reflects Freshworks' journey as a company. Freshworks demonstrated how to balance foundational principles with the practicalities of scaling. Girish's dual philosophy—building from within while bringing in experienced leaders—remains a key driver of Freshworks' continued success.

Lesson 5 - Get to a position to ask for 3x, not 30% more.

Girish Mathrubootham's fundraising strategy, very early in Freshworks' journey, offers a masterclass in strategic capital raising: raise capital when you don't need it and negotiate from a position of strength.

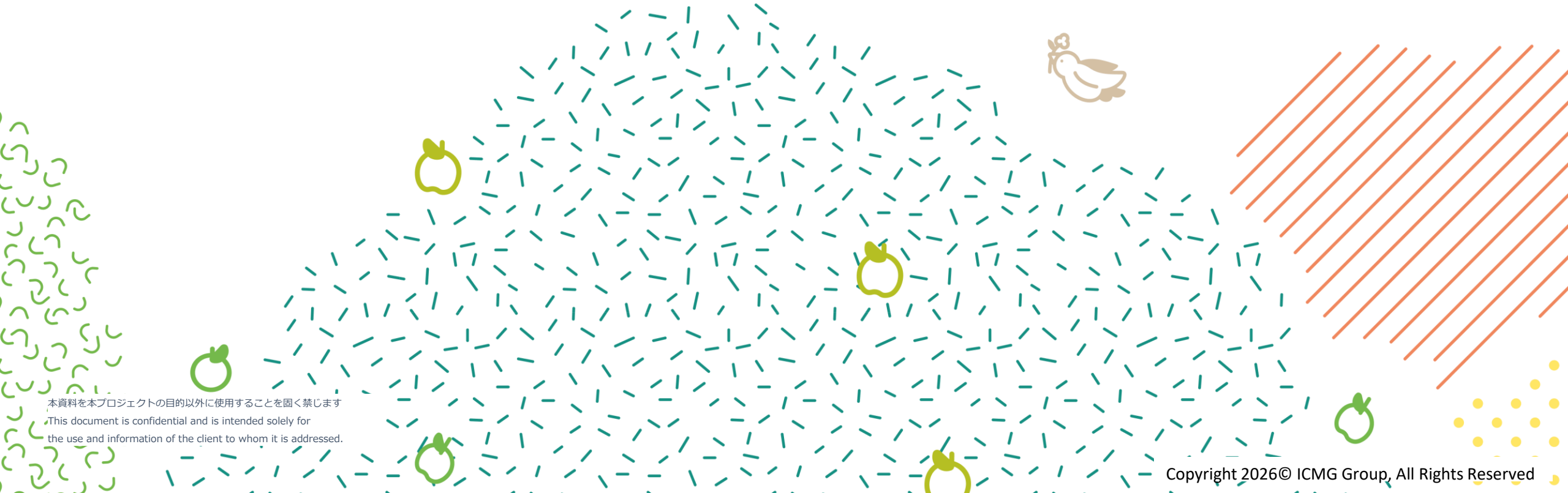
Shortly after securing the first round of funding from Ac-

freshworks


ELECTRIC
PLANES
ELECTRIC/
HYHDROGEN
FUEL TRUCKS


People
First
Empowering, Empathetic, Inclusive
BLUME

Thank you!



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